

25NNCV06284 25NNCV06284

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Case Number: 25NNCV06284 Hearing Date: September 4, 2026 Dept: B

Hon. Victor Avila, Dept B

Motion to Strike

Hearing Date: 9/4/26

CASE NO.: 25NNCV06284

CASE NAME: Vidalakis v. Douglas Elliman of California, Inc., et al.

Moving Party: Defendants Douglas Elliman of California, Inc. and Ernie Carswell

Responding Party: Plaintiff John Vidalakis

Notice: Sufficient

Ruling: DENY.

NOTICE

The Court is not requesting oral argument on this matter/motion. The Court is guided by California Rules of Court, Rule 3.1308(a)(1) whereby notice of intent to appear is requested. Unless the Court directs argument in the Tentative Ruling, no argument is requested and ANY PARTY SEEKING ARGUMENT SHOULD NOTIFY ALL OTHER PARTIES AND THE COURT BY 4:00 P.M. ON THE COURT DAY BEFORE THE HEARING of the party's intention to argue as to this matter/motion. The tentative ruling will

become the ruling of the court if no argument is received. Notice may be given either by email at BurDeptB@LACourt.org or by telephone at (818) 260-8422.

Parties must appear on all other matters scheduled for this case.

BACKGROUND

On September 8, 2025, plaintiff John Vidalakis, trustee of the John N. Vidalakis Revocable Trust, filed an initial Complaint against defendants Douglas Elliman of California, Inc., Ernie Carswell (collectively, Defendants), as well as Coldwell Banker Residential Brokerage Company, Darrell Done, and Carol Chua arising from the marketing and sale of residential property located at 2 Oak Knoll Terrace in Pasadena, California.

On April 2, 2026, Plaintiff filed a First Amended Complaint (FAC) alleging two causes of action for breach of fiduciary duty.

On May 19, 2026, Defendants filed the instant motion to strike portions of the FAC. On August 24, 2026, Plaintiff filed an opposition. On August 28, 2026, Defendants filed a reply.

REQUEST FOR JUDICIAL NOTICE

Plaintiff requests judicial notice of Exhibits: (A) March 13, 2026, Minute Order; and (B) Initial Complaint filed in Carswell v. Douglas Elliman of California, Inc. The request is granted. (Evid. Code, §452(d).)

LEGAL STANDARD

The court may, upon motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (Code Civ. Proc., § 436, subd. (a).) The court may also strike all, or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (b).) The grounds for a motion to strike are that the pleading has irrelevant, false, or improper matter, or has not been drawn or filed in conformity with laws. (Code Civ. Proc., § 436.) The grounds for moving

to strike must appear on the face of the pleading or by way of judicial notice.
(Code Civ. Proc., § 437.)

DISCUSSION

Defendants move to strike punitive damages
as to Defendants Elliman and Douglas. (Mot., p. 2.) Defendants also move to
strike allegations regarding unrelated litigation of Defendants. (Ibid.)

Punitive Damages

Punitive damages may be recovered upon a
proper showing of malice, fraud, or oppression. (Civ. Code, § 3294, subd. (a).)
“Fraud” is an intentional misrepresentation, deceit, or concealment of a
material fact known by defendant, with intent to deprive a person of property,
rights or otherwise cause injury. (Turman v. Turning Point of Cent. Cal.,
Inc. (2010) 191 Cal.App.4th 53, 63.) Conclusory allegations, devoid of any
factual assertions, are insufficient to support a conclusion that parties acted
with oppression, fraud or malice. (Smith v. Superior Court (1992) 10
Cal.App.4th 1033, 1042.)

“An employer shall not be liable for
damages pursuant to subdivision (a), based upon acts of an employee of the
employer, unless the employer had advance knowledge of the unfitness of the
employee and employed him or her with a conscious disregard of the rights or
safety of others or authorized or ratified the wrongful conduct for which the
damages are awarded or was personally guilty of oppression, fraud, or malice.
With respect to a corporate employer, the advance knowledge and conscious
disregard, authorization, ratification or act of oppression, fraud, or malice
must be on the part of an officer, director, or managing agent of the
corporation.” (Civ. Code, § 3294(b).)

Defendants move to strike prayer for
punitive damages at FAC paragraph 37, page 12, line 6 through 7 and page 14,
line 3. (Mot., p. 4.) Defendants argue that the FAC fails to plead ratification
or authorization of an agent to justify seeking punitive damages against Defendants
corporation. (Memo., p. 5.)

In opposition, Plaintiff argues that the

FAC properly alleges Defendants ratified and authorized the conduct of their employee who allegedly acted with malice, oppression, and fraudulently. (Opp., pp. 9-10.) Further, Plaintiff argues that the Court already found prayer for punitive damages based on the alleged conduct of Defendants' employee was proper. (Opp., pp. 7-8.)

In reply, Defendants argue that the FAC responded to previous demurrer and motion to strike by adding statutory language to make general allegations and does not plead operative facts. (Reply, p. 5.)

Here, The FAC alleges that employee of Defendants, against whom the court found prayer for punitive damages was proper, was an officer, director, and/or managing agent of Elliman, and that an officer, director, and/or managing agent had actual knowledge of Carswell's malicious, oppressive, and fraudulent conduct, and authorized it, ratified it after learning of it, and/or permitted it through corporate policies, practices, incentive structures, or failures of supervision. (FAC, ¶ 37; Exh. A, p. 7.) At the demurrer stage this allegation is enough to survive a motion to strike. The fact that Plaintiff uses language tracking statute does not alone give rise to striking the allegations. The parties are reminded that Plaintiff must prove these allegations in order to actually recover.

Accordingly, Defendants' motion to strike prayer for punitive damages is DENIED.

Irrelevant
and Improper Matter

The court may...at any time in its discretion, and upon terms it deems proper strike out any irrelevant, false, or improper matter inserted in any pleading. (Code Civ. Proc., § 436 (a).)

"An immaterial allegation in a pleading is any of the following: (1) an allegation that is not essential to the statement of a claim or defense; (2) an allegation that is neither pertinent to nor supported by an otherwise sufficient claim or defense; (3) a demand for judgment requesting relief not supported by the allegations of the complaint or cross-complaint." (Code Civ. Proc., § 431.10(b).) An "immaterial allegation" means "irrelevant matter"

as that term is used in Section 436. (Code Civ. Proc., § 431.10(c).)

Defendants move

to strike paragraph 24 of the FAC, page 7, line 24 through page 8, line 6, concerning unrelated litigation between Carswell and Elliman. (Mot., p. 4.) Defendants argue that these allegations serve no purpose other than to invite generalized negative inferences about Defendants based on unrelated litigation and separate disputes. (Memo., p. 8.)

In opposition,

Plaintiff argues that their allegations are relevant because the description of Defendants is consistent with Plaintiff's allegations that an officer, director, and/or managing agent of Elliman authorized, ratified and/or permitted Carswell's wrongful conduct through Elliman's "corporate policies, practices, incentive structures, or failures of supervision." (Opp., p. 14.) Further, Plaintiff argues that the allegations involving prior lawsuits are judicial admissions made by Defendant Carswell in his publicly filed complaint against Defendant Elliman. (Opp., p. 13.)

In reply,

Defendants argue that judicial admissions made in unrelated cases may become evidence but are not binding judicial admissions. (Reply, p. 10.) Further, Defendants argue that the allegations do not support ratification or authorizing conduct as it relates to seeking punitive damages. (Ibid.) Defendants argue that "profit-oriented corporate culture" does not mean Defendants encouraged brokers to misrepresent to buyers. (Ibid.)

Here, the

statements at issue are offered to support the allegation that Defendant promoted a corporate culture that encouraged profits over people. (FAC, ¶ 24.) Plaintiff alleges that these statements support the cause of action for breach of fiduciary duty against Defendant Elliman, a corporation, by showing that this misconduct is a corporate practice, rather than an isolated incident attributable to one employee. (Ibid.) While these statements do not directly support allegations that Defendants ratified and authorized the conduct of their employee, the statements do support allegations of intentional breach of fiduciary duty. These statements are part of a previous judicial record and not made for improper purpose.

Accordingly,

Defendants motion to strike improper matter is DENIED.

CONCLUSION

AND ORDER

Defendants Douglas

Elliman of California, Inc. and Ernie Carswell's motion to strike is DENIED.

MOVING PARTY

shall

provide notice.